

happens. In this game, you want to be there when the great trade comes along. It's the 80/20 rule of life. In trading, 80 percent of your profits come from 20 percent of your ideas.

How do you avoid or minimize losses?

I don't trade unless I have done all the work and really have a view. If I enter a trade, and the minute I put it on, I feel uncomfortable, I will just turn around and get right out. Also, I look at each trade in my book every day and ask myself the question, "Would I enter this trade today at this price?" If the answer is "no," then the trade is gone. Most of the trades that I do stop myself out of, I stop out because of time rather than because of a loss. If I really love the trade and get strongly positioned, and then a month later, it still hasn't moved, alarm bells start ringing in my head. I think to myself, *That is a really great idea you have, but the market is just not playing ball.*

What do you look for to make a trade?

There are three things you need to make money in a market. You need a decent fundamental story, a good trend that looks like it will carry on, and the market handling news the way you think it should. Bull markets ignore any bad news, and any good news is a reason for a further rally.

Can you think of an example where the market response to the news was counter to what you expected and impacted your trade?

In 2009, I was long 2-year notes/short 10-year notes one-year forward, looking for the yield curve to widen, and a lot of news came out that I thought would hurt me. One news item after another, I saw the screen and thought, *I am going to get screwed in this position.* But I didn't. After a number of these instances, I thought, *the yield curve just can't get any flatter no matter what comes out.* So I quadrupled my position. It was a great trade. The spread went from 25 basis points to 210, although I got out at 110.

Any other examples where the market action was the catalyst for a trade?

When the whole debt fiasco in Europe started to unfold, the euro plunged from 1.45 to 1.19. Everyone was bearish, and so was I. I thought, *I am in*